

M/S Urmila Oil Industries v. U.P. Dakshinanchal Vidyut Vitran Nigam & Ors.

Allahabad High Court · Division Bench · 7 November 2019 · WRIT - C No. 60272 of 2005 · **Writ petition allowed; assessment notice and demand set aside (liberty to pass a fresh order)**

HEADNOTE

An assessment cannot be sustained where it is founded merely on the 'possibility' of theft inferred from an MRI pattern (nil load recorded at night over several months) without any specific finding of how the authorities concluded that theft had in fact occurred, without disclosing the manner of assessment, and without issuing the show-cause notice contemplated by Clause 6.8 of the U.P. Electricity Supply Code, 2005, as required by *Ashok Kumar v. State of U.P.* A consumer's explanation that nil night-time load reflected a genuine safety-driven disconnection (not consumption) must be engaged with on its merits, not summarily rejected as 'unsatisfactory' without reasoned analysis.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

An assessment based on mere 'possibility of theft' inferred from an MRI pattern, without Clause 6.8 procedure or reasoned analysis, cannot be sustained

QUESTION

Can a revenue assessment for theft be sustained where it rests only on an MRI-derived pattern of nil night-time load — described merely as raising a 'possibility' of direct power pilferage — without a proper Clause 6.8 show-cause notice or reasoned analysis of the consumer's explanation?

HOLDING

No. The impugned notice itself stated only that the consumer's system 'has given rise to a possibility of direct theft of electricity' from the recorded nil night-time load; no specific reason was given for how the authorities concluded theft had occurred, nor was the manner of assessment disclosed, nor was the Clause 6.8 show-cause procedure followed. The consumer's explanation (that a transformer protection device disconnected supply at night as a safety measure during non-production hours) was rejected as 'unsatisfactory and illogical' without reasoned engagement. Following *Ashok Kumar v. State of U.P.*, the assessment and demand were set aside for non-compliance with Section 126 read with Clause 6.8, with liberty to the Assessing Authority to pass a fresh order in accordance with law. ¶ paras 8-10

LIMITING FACTS

MRI analysis showed nil load during night hours (roughly midnight to 7-8 a.m.) over several discrete periods spanning 2003-2004; the consumer explained this was due to a transformer protection device (TPMO) disconnecting supply at night when the mill was not in production, to avert accidents; a subsequent unrelated inspection recorded some night consumption in a later month, which the licensee treated as confirming meter-bypass theft and assessed Rs. 21,84,484 for 27 days at an average daily consumption figure.

PRINCIPLE TAGS

theft-cannot-rest-on-mere-possibility An assessment cannot be grounded merely on the 'possibility' of theft inferred from a load pattern (e.g. MRI-recorded nil night load); the assessing authority must give specific, disclosed reasons and follow the Clause 6.8 procedure, engaging with the consumer's explanation on its merits (cf. *SCJ-060 Mohit Paper Mills*: theft must be established, not presumed). Lead authorities: *Ashok Kumar & Others v. State of U.P. & Others* [897981]. ¶ paras 8-9

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE CONSUMER IN FACT COMMITTED THEFT BY BYPASSING THE METER

Not decided on merits; the assessment was set aside for procedural/reasoning defects, with liberty to reassess afresh. ¶ para 10

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar & Others v. State of U.P. & Others</i> 2008 (6) ADJ 660 (DB) [897981] Allahabad High Court (DB)	Clause 6.8 of the Supply Code prescribes a mandatory procedure (inspection report, show-cause notice, hearing, speaking final order) for an unauthorised-use/theft assessment, requiring disclosed, cogent reasons for a conclusion of theft.	Followed and applied to quash an assessment resting on mere 'possibility' of theft without Clause 6.8 compliance. ¶ paras 8-9	Petitioner	Followed

SCJ-070 · M/S Urmila Oil Industries v. U.P. Dakshinanchal Vidyut Vitran Nigam & Ors. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.